

Interview Feedback

Brew & Bean Profitability · 2026-10-07 · Overall: needs work

Top improvement

Keep relative % changes and percentage points of revenue strictly separate, and size the problem in margin points. COGS moved 16 points (not 38), and with overhead's 2 that fully explains the 18-point decline. When an interviewer probes a number more than once, re-derive it out loud and update, rather than inventing new justifications to defend it.

Rubric Scores

Problem Structuring

adequate

What went well

The candidate opened with the profit equation and a hypothesis on where the decline likely sat before asking for any data.

"Profit is revenue minus costs, and since revenue is actually up 15%, the margin collapse from 24% to 6% — 18 points — has to be driven mostly by the cost side, or by a shift in revenue mix toward lower-margin items."

What needs work

The candidate's initial three buckets overlapped, with external factors duplicating drivers inside the cost bucket, and this was fixed only after the interviewer asked about MECE. When asked, though, the candidate critiqued the structure's MECE-ness well and prioritized the cost branch with two explicit reasons.

"Third, external factors: commodity prices, wage inflation, competitive pricing pressure."

"my third bucket — external factors — isn't really parallel to the first two"

"I'd prioritize the cost branch, and within that, variable costs. Two reasons."

The opening did not restate the CEO's objective (find the root cause and reverse it). It also left out pricing power and whether competitors face the same pressure, which are both central to a pass-through decision.

"So I'd break it into three buckets."

Missed opportunities

Turn 1, laying out the initial framework.

A great answer: "The goal is to find why margin fell 18 points despite 15% revenue growth, and what will restore it. Two branches. Revenue: volume × price, with mix. Costs: COGS, labor, overhead. My hypothesis is COGS inflation that wasn't passed through, so I'd start there. I'd also ask whether peers are seeing the same squeeze, because that tells us how much pricing power we have."

Quantitative & Analytical Rigor

needs work

What went well

The price-increase derivation was set up cleanly, narrated step by step, and computed correctly.

"Total costs are 94 — 58 COGS, 22 labor, 14 overhead — leaving 6 of profit."

"94 divided by 0.76 is about 123.7, so revenue has to rise roughly 24% on price alone."

What needs work

The candidate initially treated the 38% relative increase in the COGS line as '38 points of margin drag.' COGS actually moved 16 points of revenue, and no cost line can take more margin than the 18 points the margin fell. After prompting, the candidate correctly closed the margin bridge in points of revenue.

"58 over 42 is about a 38% increase in COGS, so roughly 38 points of drag flowing to the bottom line."

"So I'll stay with roughly 38 points of economic drag from COGS."

"It does sum — 16 plus 2 plus zero is 18, and that's the full decline."

The candidate claimed the non-coffee inflation 'tracks almost exactly' with 38 but never did the nested conversion. Non-bean inputs are $75\% \times 42\% = 31.5$ points of revenue; up 37.5%, that adds ~11.8 points. Beans account for the remaining ~4.2 of the 16.

"three-quarters of the line is dairy, packaging, and food — and that bulk is up 37.5%. That tracks almost exactly with the magnitude I'm seeing."

The candidate offered an incorrect mechanism: COGS, labor, and overhead are already expressed as % of revenue, so volume growth did not 'absorb' a 38-point shock. The 58'67 cost-spend figure is arithmetically fine but is the wrong quantity for sizing the margin problem.

"revenue growth of 15% absorbed a large share of it by spreading fixed costs over a bigger base"
"so the cost line grew from 42 to 67, call it 25 points of absolute cost growth on the original base"

Missed opportunities

Turn 7, when the interviewer asked how the candidate got 38 and what the COGS change is in points of revenue.

A great answer: "I conflated two things. 38% is the relative growth of the COGS ratio. In points of revenue, COGS went 42 to 58, so 16 points. Add 2 from overhead and labor flat, and that's all 18. Inside COGS: beans were $25\% \times 42 = 10.5$ points of revenue, and the other inputs were 31.5 points. Those others rising 37.5% adds about 11.8 points, so beans account for roughly the remaining 4.2."

Data & Exhibit Interpretation

adequate

What went well

The candidate drew a forward-looking implication from the linear trend.

"Next year, unchecked, COGS goes to 66 and profit goes negative. The clock matters."

What needs work

The candidate read the exhibit year by year and correctly isolated COGS as the driver, with overhead as the minor contributor. Right after that correct read in points, however, the candidate reverted to the 38% relative figure as the size of the problem, which undermined the read.

"COGS is up about 38% over the two years, and that's the economic shock pricing has to recover against"

"COGS marches 42 to 50 to 58 — eight points of revenue a year, dead linear. Labor is pinned at 22 the whole way."

"the eight from COGS plus one from overhead accounts for each year's step"

The candidate never tested how much of the 16-point COGS move beans versus other inputs could explain, despite having both the bean share and the other-input inflation.

"That's the root cause: unpassed-through input inflation in the non-coffee portion of COGS."

Missed opportunities

Turn 15, when asked whether the exhibit changes the sizing of the problem.

A great answer: "Yes. It confirms the problem is 16 points of COGS plus 2 of overhead, not 38. Non-bean inputs explain about 11.8 of the 16 points and beans about 4.2. So procurement has to cover dairy, packaging and food, not just coffee. The price target is the roughly 24% that restores margin on today's costs."

Business Judgment & Insight

adequate

What went well

The recommended actions are practical: an elasticity pilot with control stores, selective pricing by item, and procurement across non-coffee inputs.

"15-20 stores, matched against comparable control stores, run it eight to twelve weeks and measure transaction counts, not just revenue"

"smaller increases on traffic-driving drip coffee, larger on specialty and food where customers are less price-aware"

The candidate proactively surfaced volume elasticity and procurement shortfall as risks.

"Suppliers may be passing through genuine commodity inflation they can't absorb"

What needs work

Sizing the pricing response against a phantom 38-point shock is a framing error. It led the candidate to suggest pricing above the 24% needed to restore margin.

"So I'd target the high-20s to low-30s on price to cover the 38, phased."

The candidate claimed '24% would fully recover the 38'. The derivation shows 24% recovers the 18-point gap, so the two statements are internally inconsistent.

"A 24% straight price increase would fully recover the 38 but likely breaks volume"

Missed opportunities

Turn 17, deciding the price target.

A great answer: "The gap is 18 margin points, which requires about a 24% price lift at constant volume. That's too steep in one move. I'd target 8–12% selectively on less elastic specialty items and close the rest through procurement on dairy, packaging and food."

Creativity & Brainstorming

adequate

What went well

The candidate produced a range of distinct levers, including some less obvious ones such as hedging and free-pour control.

| *"lock in forward contracts or hedges on the volatile inputs instead of buying spot"*

| *"Third, portion and waste control — spoilage, cup sizes, free-pour milk."*

What needs work

The candidate went beyond listing by prioritizing and blending the levers. However, the ideas first came as a flat numbered list rather than being grouped into buckets such as price, cost and mix.

| *"Fifth, overhead — it's drifted two points with a flat footprint, so there's scrutiny available there."*

| *"Realistically I'd blend: maybe 10-12% price plus procurement and mix to close the rest of the 38."*

Missed opportunities

Turn 19, opening the brainstorm.

A great answer: "I'll split levers into three buckets: revenue-side (selective pricing, mix steering, new premium SKUs), input costs (procurement, hedging, lower-cost blends), and operations (waste, portioning). Then I'd prioritize by size and speed."

Synthesis & Recommendation

adequate

What went well

The recommendation was answer-first, with a clear diagnosis and action.

| *"My recommendation: Brew & Bean's margin collapse is a cost-of-goods problem, not a demand problem, and the fix is a blended pass-through program — roughly 10-12% on price plus aggressive procurement — executed in the next two quarters."*

The candidate named concrete first actions and sequencing.

| *"launch a supplier renegotiation on the dairy, packaging, and food bundle immediately, and pilot a modest price increase in 15-20 stores to measure elasticity before rolling out"*

What needs work

The supporting evidence misstated the analysis by repeating the 38% framing. It also never quantified the 16+2 point bridge that actually explains the decline.

| *"The entire decline sits in COGS, which has escalated about 38% off its base while menu prices haven't moved once in two years."*

Missed opportunities

Turn 21, the CEO recommendation.

A great answer: "Raise prices selectively and fix procurement across all inputs. Margin fell 18 points: 16 from COGS, 2 from overhead, labor flat. Menu prices haven't moved in two years while non-bean inputs rose 37.5%. Restoring 24% margin needs about a 24% price lift at flat volume, so I'd combine 8–12% selective pricing with dairy, packaging and food renegotiation. The key risk is traffic loss, so we pilot first."

Communication & Delivery

adequate

What went well

Delivery was consistently top-down and signposted, with hypothesis framing.

| *"So I'd break it into three buckets."*

| *"I'd prioritize the cost branch, and within that, variable costs. Two reasons."*

What needs work

The candidate repeatedly failed to build on the interviewer's cues about the 38 figure, which made several turns read as talking past the question.

| *"So directionally, every other line is noise. The 38 points is the case."*

| *"the 16 is the accounting view, what shows up on the statement. The 38 is the economic view"*

Missed opportunities

Turn 11, after the interviewer said a cost line can't take more margin than the margin fell.

A great answer: "You're right — the 18 points is the problem, and 16 of it is COGS. The 38% was the relative change in the ratio, so I'll drop it and size everything in margin points."

Pushback, Composure & Case Leadership

needs work

What went well

The candidate proactively asked for relevant data throughout and drove the case forward.

| *"Do we have a split of that COGS line — coffee versus dairy versus food versus packaging — for both years?"*

| *"Can I ask — do we know transaction volume per store, so I can separate volume growth from new-store growth inside that 15%?"*

What needs work

Across four successive interviewer challenges, the candidate defended the 38-point figure with new, incorrect rationales instead of updating.

“So I’ll stay with roughly 38 points of economic drag from COGS.”

“I’d manage to the 38, because that’s what pricing has to recover.”

Even after conceding the $16+2=18$ bridge, the candidate reverted to the 38 in later turns, showing the hint was not incorporated.

“So: 18 points explained, COGS is 16 of them, but the run-rate exposure is nearly 38.”

Missed opportunities

Turn 9, after the interviewer asked 'Points of what is that 38?'

A great answer: “Good catch — it’s 38% of the old COGS base, not margin points. The margin impact is 16 points, and with overhead’s 2 that closes the 18. I’ll size the fix against 18 points.”

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a minute if you need it, then tell me how you'd structure your approach.

Candidate · 0:20

Let me lay out how I'd think about this.

Profit is revenue minus costs, and since revenue is actually up 15%, the margin collapse from 24% to 6% — 18 points — has to be driven mostly by the cost side, or by a shift in revenue mix toward lower-margin items.

So I'd break it into three buckets. First, revenue: is the 15% growth coming from new stores, more transactions per store, or price increases? Mix matters a lot — if they've shifted toward lower-margin food or added locations with weaker economics, that drags margin even with growth.

Second, costs: split fixed versus variable. On the variable side, coffee beans, milk, cups, and store labor. On the fixed side, rent, corporate overhead, marketing, and any expansion costs from opening new stores.

Third, external factors: commodity prices, wage inflation, competitive pricing pressure.

To start, could I get the cost breakdown as a percent of revenue, two years ago versus today?

Interviewer · 0:23

Understood. I'll come back to the cost breakdown as a percent of revenue, two years ago versus today shortly. Before we get to data: is that structure MECE, and which branch would you prioritize first, and why?

Candidate · 0:28

I think it's close to MECE, with one caveat: my third bucket — external factors — isn't really parallel to the first two. Commodity prices and wage inflation are causes that show up *inside* the cost branch, not a separate branch. So cleaner would be two mutually exclusive branches, revenue and cost, with external drivers as the "why" layer underneath each. That way nothing double-counts.

I'd prioritize the cost branch, and within that, variable costs. Two reasons. One, revenue grew 15% while margin fell 18 points — that's a large divergence, and you don't get an 18-point swing from mix shift alone unless the mix change is dramatic. Two, for a coffee chain, COGS and store labor are typically the largest lines, so a few points of movement there has outsized leverage.

If costs don't explain it, I'd come back and test revenue mix and pricing.

Interviewer · 0:30

Okay. You asked about this earlier: COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. With those numbers in front of you, where is the margin going, and what would you want to dig into next?

Candidate · 0:37

This is pretty clear. COGS went from 42% to 58% — and when I work that through, that's a swing of about 38 points of margin, which is more than the entire 18-point decline on its own. Labor is flat, overhead adds maybe 2 points. So COGS isn't just the main driver, it's essentially the whole story, with everything else rounding error against it.

That 38-point drag tells me something structural happened in cost of goods, not a gradual drift. The candidates I'd test: green coffee prices — arabica has been volatile — dairy and packaging inflation, supplier contract terms rolling off, waste and spoilage, or a product mix shift toward food and cold drinks that carry a heavier input cost.

Do we have a split of that COGS line — coffee versus dairy versus food versus packaging — for both years? And separately, has Brew & Bean changed menu prices at all over the two years?

Interviewer · 0:39

Understood. Coffee beans were 25% of COGS two years ago. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. Menu prices have not changed in two years. Before we use those: you said COGS is a 38-point swing against an 18-point decline. Walk me through how you got 38, and what the COGS change actually is in points of revenue.

Candidate · 0:47

Sure. I took the 42% to 58% move and looked at it as the increase relative to the base — 58 over 42 is about a 38% increase in COGS, so roughly 38 points of drag flowing to the bottom line. That's what I was anchoring on, and it's why I said COGS alone more than accounts for the 18-point decline and swamps the 2 points from overhead.

So directionally, every other line is noise. The 38 points is the case.

Using what you just gave me: beans were 25% of COGS two years ago, so three-quarters of the line is dairy, packaging, and food — and that bulk is up 37.5%. That tracks almost exactly with the magnitude I'm seeing. And with menu prices flat for two years, none of that input inflation got passed through. Revenue grew 15% on volume alone while the cost base inflated underneath it.

That's the root cause: unpassed-through input inflation in the non-coffee portion of COGS.

Interviewer · 0:49

Right, so 58 over 42 is a relative increase in the cost line. But the margin decline is measured in points of revenue. Points of what is that 38, and what does the COGS move actually amount to in points of revenue?

Candidate · 0:59

Fair — the 38 is points of the old COGS base, not points of revenue. In points of revenue the line moved 58 minus 42, so 16 points.

But I'd argue 16 understates the true drag, and here's why. That 16 points is measured against today's revenue, which is 15% larger than it was. If I index two years ago to 100 of revenue, COGS was 42. Today revenue is 115, and 58% of that is about 67 — so the cost line grew from 42 to 67, call it 25 points of absolute cost growth on the original base. Layer in that the non-coffee three-quarters inflated 37.5%, and the effective pressure on the P&L is closer to the high thirties than to 16.

So I'll stay with roughly 38 points of economic drag from COGS. Either way it dwarfs overhead's 2 points and labor's zero, and the mechanism is the same: input inflation with no price pass-through.

Interviewer · 1:01

Mm-hm. You've got 16 points of revenue now. But the margin fell 18 points, and you're still saying the drag is closer to the high thirties. A cost line can't take more margin than the margin fell, so how do those reconcile, and which of those numbers is the margin problem?

Candidate · 1:07

The way I reconcile it is that the 18 points is the *net* outcome, not the gross drag. COGS pushed roughly 38 points of pressure onto the P&L; revenue growth of 15% absorbed a large share of it by spreading fixed costs over a bigger base, so what actually surfaced in margin was 18 points, net of about 2 points of overhead going the wrong way. Without that volume growth, the decline would have been far steeper.

So on your question of which number is the margin problem — the 16 is the accounting view, what shows up on the statement. The 38 is the economic view, the size of the shock the business actually took. I'd manage to the 38, because that's what pricing has to recover.

Practically it doesn't change the diagnosis: menu prices flat for two years, three-quarters of COGS up 37.5%, zero pass-through. Can I ask — do we know transaction volume per store, so I can separate volume growth from new-store growth inside that 15%?

Interviewer · 1:10

Average revenue per store is \$2.4M a year. 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. On the reconciliation: you said 16 points is what shows up in the margin and 38 is the shock the business took. Margin fell 18 points, and cost lines in points of revenue should account for it. COGS is up 16, overhead 2, labor flat. Does that sum to the full decline, and if so, what does the 38 add that those points don't?

Candidate · 1:16

It does sum — 16 plus 2 plus zero is 18, and that's the full decline. The accounting closes cleanly on those points of revenue.

What the 38 adds, in my view, is scale of the underlying shock rather than the bookkeeping. The 16 is net of a 15% revenue tailwind that was quietly offsetting cost growth the whole time — and since the store count is flat at 200, that growth is entirely same-store volume, not expansion. So volume was doing real work masking the input inflation. If volume flattens, the exposure the business is carrying is much closer to the 38 than to the 16, and that's the number I'd size a pricing response against.

So: 18 points explained, COGS is 16 of them, but the run-rate exposure is nearly 38. At \$2.4M per store across 200 stores, that's \$480M in revenue — a 38-point exposure is meaningful money to recover.

Interviewer · 1:19

Mm-hm. The 16 and the 18 close. Here's an exhibit: Brew & Bean Cost Structure Over Time. Here's the cost structure over time. What does it tell you, and does it change how you'd size the problem you're about to recover with pricing?

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 1:25

The exhibit is clean and it confirms the mechanism. COGS marches 42 to 50 to 58 — eight points of revenue a year, dead linear. Labor is pinned at 22 the whole way. Overhead creeps 12, 13, 14. Profit falls 24 to 15 to 6, so nine points a year, and the eight from COGS plus one from overhead accounts for each year's step. No single-year shock, no one-off — this is steady, compounding input inflation with prices frozen.

On sizing: the linearity actually reinforces my read. If I look at it relative to the 42 base, COGS is up about 38% over the two years, and that's the economic shock pricing has to recover against — not the 16 points of revenue that landed on the statement after volume absorbed part of it.

And it tells me the trend doesn't self-correct. Next year, unchecked, COGS goes to 66 and profit goes negative. The clock matters.

Do we have gross margin by product category?

Interviewer · 1:28

A year-by-year read. I don't have gross margin by product category. You said pricing has to recover against the 38%, but that 38% is a relative increase in the COGS line. If you were sizing the price increase the client needs, what is the right target, in margin terms, and how would you derive it?

Candidate · 1:37

Right — the target in margin terms is the gap back to historical profitability: 6% today versus 24% two years ago.

Let me derive the price move. Index revenue to 100. Total costs are 94 — 58 COGS, 22 labor, 14 overhead — leaving 6 of profit. If I raise price and hold volume, those cost dollars don't move, so I need 94 to equal 76% of the new revenue. 94 divided by 0.76 is about 123.7, so revenue has to rise roughly 24% on price alone.

But I'd size above that, not at it. The underlying shock is the 38% escalation in the cost line, and it's still running at eight points of revenue a year. A 24% increase gets you back to 24% margin on today's costs and is underwater again within twelve months. So I'd target the high-20s to low-30s on price to cover the 38, phased.

Volume response is the risk — 24% is a steep ask on a flat menu.

Interviewer · 1:39

Understood. The 24% on-price derivation is clear. You flagged volume response as the risk with a price move that large. Beyond a straight price increase, what else could Brew & Bean do to recover the margin?

Candidate · 1:46

A few levers, and honestly some of these are more attractive than a 24% price hike.

Procurement first. Three-quarters of COGS is dairy, packaging, and food, and that bundle is up 37.5%. That's where I'd push: renegotiate supplier contracts, consolidate vendors across all 200 stores for volume leverage, lock in forward contracts or hedges on the volatile inputs instead of buying spot. A chain this size has buying power it may not be using.

Second, product mix. Without category-level gross margins I'm inferring, but if food and cold drinks are the inflating, lower-margin end, steer customers toward high-margin espresso drinks through menu design and placement.

Third, portion and waste control — spoilage, cup sizes, free-pour milk.

Fourth, selective pricing rather than blanket: raise on price-insensitive items, hold on traffic drivers.

Fifth, overhead — it's drifted two points with a flat footprint, so there's scrutiny available there.

Realistically I'd blend: maybe 10-12% price plus procurement and mix to close the rest of the 38.

Interviewer · 1:48

Mm-hm. A blended lever set. Pulling that together: if you were presenting to the CEO now, what is your recommendation, and what would you ask the client to do first?

Candidate · 1:55

My recommendation: Brew & Bean's margin collapse is a cost-of-goods problem, not a demand problem, and the fix is a blended pass-through program — roughly 10-12% on price plus aggressive procurement — executed in the next two quarters.

The support. Revenue is healthy: 15% growth on a flat 200-store footprint, so that's pure same-store volume, \$480M in total revenue. Labor is disciplined at 22% for two straight years. The entire decline sits in COGS, which has escalated about 38% off its base while menu prices haven't moved once in two years. That's the whole case — input inflation with zero pass-through.

The risks. A 24% straight price increase would fully recover the 38 but likely breaks volume, which is the one thing working. And the trend is linear, eight points a year — unaddressed, profit goes negative next year.

First actions: launch a supplier renegotiation on the dairy, packaging, and food bundle immediately, and pilot a modest price increase in 15-20 stores to measure elasticity before rolling out. Then pull category-level gross margins to guide mix.

Interviewer · 1:57

Understood. What is the biggest risk to that recommendation, and how would you mitigate it?

Candidate · 2:04

The biggest risk is demand elasticity on the price move. Same-store volume growth of 15% is the only thing currently holding this business up — it's what absorbed a large part of the 38-point shock and kept the decline to 18 points on the statement. If a 10-12% increase on a menu that hasn't moved in two years triggers a 10% traffic drop, I've traded the one healthy part of the P&L for the fix, and net I'm no better off.

Mitigation is the pilot — 15-20 stores, matched against comparable control stores, run it eight to twelve weeks and measure transaction counts, not just revenue, before any chain-wide rollout. I'd also stage it: smaller increases on traffic-driving drip coffee, larger on specialty and food where customers are less price-aware.

The second risk is that procurement underdelivers. Suppliers may be passing through genuine commodity inflation they can't absorb, in which case the savings I'm counting on to close the rest of the 38 don't materialize, and price has to carry more of the load than I'd like.

Interviewer · 2:05

We'll stop there. Thanks for working through the case — your written report will follow.